

1. Monetary Functions

Monetary functions are those concerned duly with money like issue of money, quantity of money, control of money supply etc. The following are the monetary functions.

1.1. Bank of Issue

Issue of new money is the exclusive right of RBI. All notes except ₹1 note and coins are issued by RBI. One rupee note and coins are issued by the Ministry of Finance but circulated by RBI. It also exchanges or destroys old damaged currencies.

To issue money, RBI keeps ₹115 cr in gold and ₹85 cr in foreign securities as backup. This is called Minimum Reserve System and is followed since 1957. The amount of new money is based on the prevailing economic condition, the need of the economy etc. RBI ensures that the issue of new money does not lead to inflation.

1.2. Banker and Debt Manager to Government

RBI acts as a banker to both the Centre and state governments (except Sikkim)[3]. It keeps deposits of governments and lends to governments. RBI carries out lending and borrowing operations by issuing government securities on behalf of the government. Though RBI is not a banker to Sikkim and Jammu and Kashmir it manages their public debt to some extent.